Contracts — Study Guide (Classes 1–23)

How the Course and Exam Work

- **Final exam:** comprehensive, **4 hours, in class, open-book**. The practice exam (Class 19) is ungraded and reviewed the following class.
- **Two rule books:** the Restatement (Second) of Contracts ("R2 §") governs common-law contracts (services, land, employment). **UCC Article 2** governs **sales of goods**. Always ask first: **goods or not?** (*Harlow & Jones*, *Leibel*).
- **The five questions of contract law** (Class 1). Run every fact pattern through them in order:
  1. Is there an **enforceable promise**? (assent, consideration or a substitute, Statute of Frauds)
  2. What are the **terms**? (interpretation, parol evidence, implied terms)
  3. Was a promise **broken**?
  4. Is there a **justification** for breaking it? (defenses and excuses)
  5. What is the **remedy**?
- Classes 1–23 cover questions 1 and 2. If the promise fails, fall back through the **ladder of enforcement**:

Theory	What makes the promise enforceable	Typical remedy	Units
Bargain contract	Mutual assent + consideration (R2 § 17)	Expectation damages	I, II
Promissory estoppel	Reasonable, foreseeable reliance; injustice (R2 § 90)	Expectation, or reliance "as justice requires"	III
Restitution / quasi-contract	No promise needed; benefit conferred, unjust to retain	Value of the benefit	V
Promissory restitution	A promise made **after** receiving a material benefit (R2 § 86)	The promise, capped at the benefit	V

Essay habits for this course:

- **Lead with the governing rule source** (R2 or UCC) and say why it applies.
- **Argue both sides.** Most of these doctrines turn on reasonableness, so facts can cut either way. Reach a conclusion anyway.
- **Plead in the alternative.** If consideration fails, run promissory estoppel. If both fail, run restitution. If the Statute of Frauds bars the contract, check the exceptions, then § 139 and restitution.

UNIT I — Introduction & Mutual Assent (Classes 1–5)

Class 1 — What Is a Contract?

Document: Introduction (CB 1–34)

Rule: Contract defined (R2 § 1). A contract is a **promise or set of promises** for whose breach the law gives a remedy, or whose performance the law recognizes as a duty.

Rule: Requirement of a bargain (R2 § 17(1)). Formation requires a **bargain** in which there is (1) a **manifestation of mutual assent** to the exchange and (2) **consideration**.

Rule: The objective theory. Assent is judged by what the parties **said and did**, read the way a reasonable person would. Secret intentions don't count.

Case: Ray v. William G. Eurice & Bros. (Md. 1952)

- The Rays and a builder signed a contract that incorporated the Rays' own detailed specifications. The builder later claimed it thought it was signing on its own, cheaper specs, and refused to build.
- **Held:** A valid contract existed. A party who has the capacity to understand a writing, reads it, and signs it is **bound by the signature**, absent fraud, duress, or mutual mistake. The builder's **unilateral mistake** about what it was signing did not prevent formation.
- **Exam use:** the baseline objective-theory case. Contrast it with R2 § 20 (true mutual misunderstanding) and § 153 (unilateral mistake as a defense; covered later in the course).

Document: R2 §§ 1, 2, 4, 17(1), 20, 153

- **§ 2:** A **promise** is a manifestation of intent to act or refrain, made so the promisee is justified in understanding a **commitment** has been made. The **promisor** makes it. The **promisee** receives it. A **beneficiary** is a third party who benefits from it.
- **§ 4:** A promise may be made in **words** (oral or written) or **inferred from conduct**.
- **§ 20: Effect of misunderstanding.** There is **no contract** if the parties attach **materially different meanings** to their manifestations and **neither knows or has reason to know** the other's meaning. If **one** party knows or has reason to know the other's meaning, a contract forms **on the innocent party's meaning**.
- **§ 153: Unilateral mistake.** A mistake by **one** party about a **basic assumption** that has a **material effect** on the exchange makes the contract **voidable** by that party if (a) enforcement would be **unconscionable**, or (b) the other party **had reason to know** of the mistake or **caused** it. The mistaken party also must not **bear the risk** of the mistake.
- **Compare § 20 with § 153:** § 20 asks whether a contract was **ever formed** (both sides innocently meant different things). § 153 assumes a contract **was** formed and asks whether one side can **get out** of it.

Class 2 — The Objective Theory Applied

Document: *Lucy v. Zehmer* (Va. 1954) (emailed)

Case: Lucy v. Zehmer

- Over drinks in Zehmer's restaurant, Lucy offered **$50,000** for the Ferguson farm. Zehmer wrote "We hereby agree to sell to W. O. Lucy the Ferguson Farm complete for $50,000.00, title satisfactory to buyer." Zehmer and his wife both signed. Zehmer later said it was all a **joke** and that he was "high as a Georgia pine."
- **Held:** There was a binding contract. The court ordered **specific performance**.
- **Objective theory:** "The law imputes to a person an intention corresponding to the **reasonable meaning of his words and acts**." An undisclosed intent to joke is irrelevant if the words and conduct would lead a reasonable person to believe the deal was real.
- **Facts the court relied on:** about 40 minutes of discussion, the writing was **redrafted** (first "I agree," then "We agree" so the wife would sign), Zehmer insisted his wife sign, they discussed title, and Lucy treated it as serious (he hired a lawyer and arranged financing).
- **Intoxication** voids a contract only if a party was so drunk they **could not understand the nature and consequences** of the transaction. Zehmer wasn't.
- **Jest:** A person can't say they were joking if their words and conduct would make a reasonable person believe they meant it. Even a secret joke doesn't help when the other side reasonably took it seriously.
- **Exam use:** Who knew what? R2 § 20(2) and § 201 point the same way. If Lucy **knew** Zehmer was joking, there's no contract.

Class 3 — Offer, Acceptance, and Timing

Document: R2 §§ 24, 26, 36

- **§ 24: Offer.** A manifestation of willingness to enter a bargain, made so as to **justify another person in understanding that their assent is invited and will conclude it**.
- **§ 26: Preliminary negotiations.** No offer exists if the addressee **knows or has reason to know** that the speaker doesn't intend to be bound until a **further manifestation of assent**. Ads, price quotes, catalogs, and "I'd consider selling for…" are usually invitations to deal.
- **§ 36: Termination of the power of acceptance.** It ends by (a) **rejection or counteroffer**, (b) **lapse of time**, (c) **revocation**, or (d) the **death or incapacity** of either party. It also ends if a condition stated in the offer fails.

Other termination rules to have ready:

- **Lapse (§ 41):** at the time the offer specifies, otherwise at the end of a **reasonable time**.
- **Counteroffer (§ 39):** It **rejects** the original offer and proposes a substitute bargain. A **mere inquiry** ("Would you take less?") is not a counteroffer.
- **Indirect revocation (§ 43):** The power ends when the offeror takes **definite action inconsistent** with the offer (such as selling to someone else) **and** the offeree learns of it from a **reliable source**.
- **Mailbox rule (§ 63):** An acceptance is effective **on dispatch**. Offers, revocations, and rejections are effective on **receipt**. The offeror can override this by requiring receipt.
- **Mirror image rule (§§ 58–59):** At common law, an acceptance must match the offer exactly. A reply that adds conditions is a counteroffer. UCC § 2-207 changes this for goods (Class 5).

Document: Timing Issues: Offer & Acceptance (CB 35–55)

Case: Lonergan v. Scolnick (Cal. Ct. App. 1954) — **class focus**

- Scolnick advertised land. Lonergan asked about it. Scolnick replied with a description and a "rock-bottom" price of **$2,500**, said Lonergan should "**act fast**" because another buyer was interested, and told him to have an escrow opened. Before Lonergan's acceptance arrived, Scolnick sold to someone else.
- **Held: No contract.** Read as a whole, the correspondence was **preliminary negotiation**. It was not an offer. The "act fast" language signaled that Scolnick meant to sell to the first buyer who closed, so he was reserving the final word (R2 § 26).
- **Lesson:** Ask whether a reasonable person in the offeree's position would think **their assent alone** would conclude the deal.

Case: Normile v. Miller (N.C. 1985)

- Normile offered to buy Miller's house. Miller's agent changed the terms (a **counteroffer**) with a deadline. Normile didn't accept. The agent then told Normile the property was sold to Segal, and Normile tried to accept anyway.
- **Held: No contract.** (1) Normile's own offer was **rejected** by Miller's counteroffer. (2) The counteroffer was **revoked** before acceptance, **indirectly**, when Normile learned from a reliable source (the agent) that the house had been sold. The deadline in the counteroffer did not create an **option**, because Normile gave no consideration to hold it open.
- **Lesson:** A stated deadline doesn't make an offer irrevocable. Only consideration (an option) or reliance (Unit III) does that.

Class 4 — Offer & Acceptance Continued: Unilateral Contracts and Ads

Document: R2 §§ 45, 25

- **§ 25: Option contract.** A promise that meets the requirements for forming a contract and **limits the promisor's power to revoke** an offer.
- **§ 45: Option created by part performance.** When an offer invites acceptance **only by performance**, an option contract is created once the offeree **begins** the invited performance (or tenders it). The offeror's duty is **conditional on completion**.
- **Mere preparation** to perform doesn't count. Starting the performance itself does.

Document: CB 55–67 (Cook; Sateriale)

Case: Cook v. Coldwell Banker / Frank Laiben Realty (Mo. Ct. App. 1997)

- The broker announced a **year-end bonus** program for agents who hit commission targets, then added a requirement that agents still be employed in March of the next year to collect. Cook earned the bonus, then left for another firm. She was refused payment.
- **Held:** This was a **unilateral contract** offer. Once Cook **substantially performed**, the offer became **irrevocable** and the employer could not change the terms. She recovered the bonus.
- **Lesson:** § 45 protects an offeree who has begun the requested performance from midstream revocation.

Case: Sateriale v. R.J. Reynolds Tobacco (9th Cir. 2012)

- RJR's **"Camel Cash"** program let smokers collect certificates and redeem them for merchandise. After years of honoring redemptions, RJR ended the program, leaving smokers holding certificates they could no longer redeem.
- **Held:** The program could be an **offer for a unilateral contract** (the plaintiffs stated a claim). Unlike ordinary ads, it invited a specific performance (buy, save, redeem) and promised a specific reward.
- **Lesson:** An ad or promotion is usually an invitation to deal. It's an offer when it is **clear, definite, and explicit** and **leaves nothing open for negotiation**, the way reward offers are.

Document: *Izadi v. Machado (Gus) Ford* (Fla. Dist. Ct. App. 1989) (emailed)

Case: Izadi v. Machado Ford

- A newspaper ad for a Ford Ranger prominently showed **$3,595** alongside a "**$3,000 minimum trade-in**" for any trade-in vehicle. The fine print limited the trade-in to two specific older models. Izadi showed up with a trade-in and the cash. The dealer refused.
- **Held:** The breach-of-contract claim (and the deceptive-practices claim) **survived dismissal**. The fraud claim was dismissed.
- An ad **can be an offer** when it's clear and definite (citing *Lefkowitz*). A dealer can't use **fine print designed to be overlooked** to take back what the large print offers. The ad was read as an objectively reasonable consumer would read it, **in favor of the consumer**.
- Even if the ad was a **"bait and switch,"** the dealer is bound by the offer it actually made.

Class 5 — Other Mutual Assent Issues: The UCC and Indefiniteness

Document: UCC §§ 2-204(1), 2-207(3)

Rule: UCC § 2-204(1)–(3). A contract for sale of goods may be made **in any manner sufficient to show agreement**, **including conduct** by both parties that recognizes a contract. A contract can exist even if the moment of formation is unclear. It does not fail for **indefiniteness** if the parties **intended to contract** and there is a **reasonably certain basis for a remedy**.

Rule: UCC § 2-207 (the "battle of the forms").

- **(1)** A definite and seasonable expression of acceptance operates as an acceptance **even if it states additional or different terms**, unless acceptance is **expressly conditional** on assent to those terms.
- **(2)** Between **merchants**, additional terms become part of the contract **unless** (a) the offer limits acceptance to its terms, (b) they **materially alter** it, or (c) the offeror objects.
- **(3)** If the writings don't form a contract but the parties' **conduct recognizes** one, the contract consists of the terms on which the writings **agree**, plus the UCC's **gap-filler** provisions.

Case: Harlow & Jones v. Advance Steel (E.D. Mich. 1976) (emailed)

- Advance (buyer) and Harlow (seller) agreed by phone through a broker on about 1,000 tons of imported steel. Harlow's sales confirmation and Advance's purchase order differed on delivery terms. The steel was shipped in installments. Advance rejected a later shipment as **late**.

- **Held:** A **contract existed** on the parties' agreement and conduct. Where the forms conflicted, the **UCC gap fillers** supplied the terms. Under § 2-504, the seller in a **shipment contract** performs by putting the goods with a carrier, so the shipment was timely. Advance's rejection was **wrongful**.
- **Lesson:** Under Article 2, formation doesn't depend on matching forms. Conduct counts, and the Code fills the gaps.

Document: Indefiniteness (CB 68–85)

Case: Walker v. Keith (Ky. 1964)

- A 10-year lease gave the tenant an **option to renew** for another 10 years, at a rent "**to be agreed upon** by the parties… in the light of subsequent competitive business conditions."
- **Held:** The renewal option was **too indefinite to enforce**. The court would not set the rent itself. An "agreement to agree" on a material term is unenforceable unless the contract supplies a **mechanism or objective standard** (a formula, an index, or an arbitrator) to fix it.
- **Contrast:** the UCC (§ 2-204(3), § 2-305 open price term) **fills gaps** freely when the parties intended to contract. *Walker* reflects the stricter common-law view. Modern courts and R2 § 33 lean toward enforcement.

UNIT II — Consideration (Classes 6–8)

Framework (R2 §§ 71, 79): A performance or return promise is consideration if it is **bargained for**, meaning it is sought by the promisor in exchange for the promise and given by the promisee in exchange for that promise. Under the **bargain theory**, the question is "was it sought in exchange?" not "was it valuable?" The older test asks for a **benefit** to the promisor or a **legal detriment** to the promisee.

Class 6 — Bargain, Detriment, and Gifts

Document: CB 87–93, 102–107, 215–216 (Hamer; Kirksey; Dougherty)

Case: Hamer v. Sidway (N.Y. 1891)

- An uncle promised his nephew **$5,000** if the nephew refrained from **drinking, using tobacco, swearing, and gambling** until age 21. The nephew complied.
- **Held: Consideration existed.** Giving up a **legal right** to do something is a **legal detriment**, whether or not it benefited the uncle, and even if it was good for the nephew.
- **Rule:** Consideration can be a benefit to the promisor **or** a detriment to the promisee. Courts don't ask whether the detriment was actually harmful.

Case: Kirksey v. Kirksey (Ala. 1845)

- A man wrote to his widowed sister-in-law: "If you will come down and see me, I will let you have a place to raise your family." She gave up her land and moved about 60 miles. He later evicted her.
- **Held: No consideration.** This was a **gratuitous promise**. Moving was a **condition** she had to meet to receive the **gift**. It wasn't the price of the promise.
- **The gift vs. bargain test (Williston's tramp):** "If you go around the corner to the clothing store, you may buy an overcoat on my credit." Walking to the store is a condition of a gift, not a bargained-for exchange. Ask: **Did the promisor want the act for its own sake?** If the act was only a necessary step to collect the gift, it isn't consideration.
- **Today:** *Kirksey* is the classic case that **promissory estoppel** (Unit III) was built to fix.

Case: Dougherty v. Salt (N.Y. 1919) (Cardozo, J.)

- An aunt gave her 8-year-old nephew a **$3,000 promissory note** "for value received." It was a gift motivated by affection.
- **Held: Unenforceable.** A promise to make a gift is not enforceable. The **recital** "value received" doesn't create consideration where none existed.
- **Rule:** A **false recital** of consideration doesn't satisfy the requirement (R2 § 71 cmt. b and § 87 cmt. b; compare option contracts, Class 13).

Class 7 — Consideration: Conditions of Gifts and Adequacy

Document: CB 108–116 (Plowman) (skip note 2, p. 113)

Case: Plowman v. Indian Refining Co. (E.D. Ill. 1937)

- A company promised older employees **half pay for life** after a layoff. Recipients had to come to the office to collect the checks. The company stopped paying.
- **Held: No consideration.** (1) **Past service** isn't consideration for a later promise. (2) Picking up the checks was a **condition of a gift**. The company didn't bargain for it. (3) Giving up any right to sue wasn't bargained for either. (The court also held that the officers who made the promise lacked **authority**.)
- **Lesson:** "The promisee did something" isn't enough. The promisor must have **sought** it in exchange.

Document: *Dohrmann v. Swaney* (Ill. App. Ct. 2014) (emailed)

Case: Dohrmann v. Swaney

- An 89-year-old woman (Rogers) signed an agreement to leave a young friend, Dohrmann, her **Manhattan apartment and $4 million** in exchange for his promise to **change his children's names** to include the Rogers name. She didn't consult her lawyer, and the agreement wasn't reflected in her estate plan. Her estate refused to perform.
- **Held: Unenforceable.** Courts usually **don't weigh adequacy** of consideration, but they will refuse enforcement when consideration is so **grossly inadequate** that it **shocks the conscience**, **especially when combined with unfairness** in how the deal was made (her age, no independent advice, the relationship of trust).
- **Lesson:** Adequacy alone almost never defeats a contract. **Gross inadequacy plus unfair circumstances** can (this previews unconscionability).

Class 8 — Adequacy of Consideration

Document: *Batsakis v. Demotsis* (Tex. Civ. App. 1949) (emailed)

Case: Batsakis v. Demotsis

- On April 2, 1942, in Greece during WWII, Batsakis lent Demotsis **500,000 drachmae** (then worth about **$25**). She signed an instrument promising to repay **$2,000** in U.S. money with **8%** interest. When sued, she pleaded **want of consideration**: she had received only about $25 in value.
- **Trial court:** awarded Batsakis only **$750** principal plus interest, apparently the value it placed on what he gave her. **Batsakis appealed.**
- **Held: Judgment reformed to the full $2,000 plus 8% interest from April 2, 1942, and affirmed as reformed.**
  - The transaction was a **sale** of the drachmae in exchange for her signing the instrument. The drachmae had **some value**, so the **plea of want of consideration** failed. That plea means the instrument never became a valid obligation in the first place.
  - "**Mere inadequacy of consideration will not void a contract.**"
  - **Failure of consideration** failed too: by her own testimony, she "got exactly what she contracted for."
- **Want vs. failure of consideration:** *Want* means no consideration was ever given, so no contract formed. *Failure* means the promised consideration was never delivered.

- **Contrast with Dohrmann:** In *Batsakis*, she was an adult, she sought the deal, and there was no proof of overreaching. In *Dohrmann*, the 89-year-old had no independent advice and was in a relationship of trust.
- **Rule:** R2 § 79: if there is a bargain, there is no further requirement of a benefit, a detriment, or **equivalence in value**.

UNIT III — Promissory Estoppel (Classes 9–13)

R2 § 90(1): Promise reasonably inducing action or forbearance. A promise is binding if:

1. the promisor **should reasonably expect** it to induce **action or forbearance** by the promisee or a third person,
2. it **does induce** such action or forbearance, and
3. **injustice can be avoided only by enforcement**.

- **The remedy** "may be limited as justice requires." Courts can award reliance damages instead of expectation.
- **§ 90(2):** A **charitable subscription** or a **marriage settlement** is binding **without proof of reliance**.

Common four-element version (used in *Aceves*, *Pop's*): (1) a **clear and definite promise**; (2) the promisor's **reasonable expectation** of reliance; (3) **actual, reasonable reliance**; (4) **detriment** of a definite and substantial nature.

Class 9 — Promissory Estoppel: Family Promises

Document: *Wright v. Newman* (Ga. 1996) (emailed)

Case: Wright v. Newman

- Newman wasn't the **biological father** of Wright's son. He agreed to be listed as the father on the birth certificate, gave the child his surname, and held himself out as the father for years. Wright alleged she **relied** by not trying to find the biological father. Newman stopped paying support.
- **Held:** Newman could be held to a child-support obligation through **promissory estoppel** (Georgia's version of § 90). By voluntarily assuming the role of father, he made a promise he should have expected to induce reliance by the **child** (a third person, per § 90) and the mother. Enforcement was needed to avoid injustice.
- **Dissent:** The mother's reliance was weak. She already knew who the real father was, and she lost nothing by waiting.
- **Lesson:** § 90 protects reliance by a **third person** too. The remedy can be **limited**: the court enforced only support, not any wider promise.

Document: *Greiner v. Greiner* (Kan. 1930) (emailed)

Case: Greiner v. Greiner

- A mother promised her son Frank **80 acres** if he moved back with his family. He moved, gave up his home and job, and made improvements on the land. She then refused to deed it.
- **Held: Enforced** under R2 (First) § 90. The promise was one she should reasonably have expected to induce substantial action, it **did**, and **injustice** could be avoided only by enforcement.
- **Lesson:** This is the *Kirksey* fact pattern with a different result. Promissory estoppel gives a remedy where consideration fails.

Document: CB 216–225 (Harvey)

Case: Harvey v. Dow (Me. 2008)

- Parents told their daughter they'd give her land. She **built a house** on it, spending substantial money with her parents' knowledge and help. When the relationship broke down, they refused to deed her the land.
- **Held:** The trial court erred in requiring a **specific promise**. A **general promise** to give land, combined with conduct and the surrounding circumstances (her parents helped plan and build the house), can be a promise for **§ 90** purposes. The court remanded.
- **Lesson:** § 90 applies even when the promise is **not** a bargain and would otherwise be an unenforceable gift promise. Substantial improvements to land with the owner's knowledge are strong evidence of reasonable reliance. Reasonableness is usually a **fact question**.
- **Distinguish equitable estoppel:** It stops someone from denying a **misrepresentation of existing fact**. Promissory estoppel enforces a **promise about the future**.

Class 10 — Promissory Estoppel: Commercial and Charitable Promises

Document: CB 225–243 (King; Katz) — class focus

Case: Katz v. Danny Dare, Inc. (Mo. Ct. App. 1980)

- After 25 years, an injured employee (Katz) was urged by the company's president to retire, in exchange for a **pension of $13,000 a year** for life. He **retired** in reliance. The company stopped paying after a few years.
- **Held: Enforceable** under **promissory estoppel**. Retirement was a detrimental change in position that the employer expected and intended. It didn't matter that Katz's job was uncertain, or that he was induced to give up a job rather than a legal right.
- **Lesson:** Reliance doesn't require spending money. **Giving up a job** is enough.

Case: King v. Trustees of Boston University (Mass. 1995)

- In 1964, **Dr. Martin Luther King, Jr.** wrote BU a letter saying he was depositing his papers there and that "**in the event of my death**, all such materials deposited with the University shall become from that date the absolute property" of BU. Coretta Scott King later sued to recover the papers.
- **Held:** The jury reasonably found an **enforceable charitable pledge**. The letter was a **promise** to make a gift, not just a statement of intent. It was supported by **consideration** (BU's promise to care for the papers, which it did) **or** by **reliance**.
- **§ 90(2):** In many jurisdictions charitable subscriptions are binding **without reliance**. Massachusetts still requires consideration or reliance.
- **Lesson:** Distinguish an enforceable **promise** from a mere statement of **intention**.

Class 11 — Promissory Estoppel: Commercial Promises and Promissory Fraud

Document: CB 243–253 (Aceves) — class focus

Case: Aceves v. U.S. Bank, N.A. (Cal. Ct. App. 2011)

- Aceves filed **Chapter 7** bankruptcy. She planned to convert to **Chapter 13**, which would have let her keep her house. The bank **promised to work with her on a loan modification** if she didn't. She gave up the Chapter 13 option. The bank never negotiated and foreclosed.
- **Held:** She stated a claim for **promissory estoppel** (and for **promissory fraud**).

    - The promise was **clear and unambiguous**: a promise to **negotiate** a modification, not a promise to make one.
    - Her reliance (giving up Chapter 13) was **reasonable and foreseeable**.
    - Her detriment was real. She lost her chance to save her home through Chapter 13.
- **Lesson:** A promise to **negotiate** can be enforced through reliance even when the final deal was never certain. Damages are measured by what was lost through the reliance, not by the deal that might have been made.

Class 12 — Firm Offers through Reliance: Construction Bids

Document: R2 §§ 45, 87(2), and 90

- **§ 87(1): Option contract.** An offer is binding as an option if it's **in writing, signed** by the offeror, **recites a purported consideration**, and proposes a fair exchange within a reasonable time. A statute can also make an offer irrevocable (**UCC § 2-205 firm offer** by a merchant).
- **§ 87(2): Reliance option.** An offer that the offeror should reasonably expect to induce **substantial action or forbearance** before acceptance, and that does so, is binding as an option **to the extent necessary to avoid injustice**. This codifies *Drennan*.
- **§ 45** (Class 4) protects an offeree who begins performance. § 87(2) protects one who **relies** before accepting.

Document: CB 262–272 (Baird; Drennan) — class focus

Case: James Baird Co. v. Gimbel Bros. (2d Cir. 1933) (Learned Hand, J.)

- Gimbel sent general contractors a bid for **linoleum** on a public building. The bid had a big mistake (about half the right quantity). Baird used it in its general bid. Gimbel **revoked** before Baird accepted. Baird then won the job.
- **Held: No contract.** Gimbel's bid was an **offer for an exchange** (a bilateral contract) that Baird hadn't accepted. **Promissory estoppel doesn't apply** to offers made for an exchange, because the offeror is bargaining, not making a promise to give.
- **Lesson:** The traditional view. A general contractor who wants protection should **bargain for an option**.

Case: Drennan v. Star Paving Co. (Cal. 1958) (Traynor, J.)

- Star Paving phoned in a **$7,131** paving bid. Drennan used it in his general bid, which won. Star then said its bid was a **mistake** and refused to perform. Drennan hired another paver for $10,948.
- **Held: Drennan recovers the difference.** Under § 90, Star's offer contained a **subsidiary promise not to revoke** for a reasonable time once its bid was used. Star should have expected Drennan to rely, because subcontractors **know** general contractors use their bids. Drennan's reliance was **reasonable**.
- **On mistake:** Drennan had **no reason to know** of Star's error. The loss falls on the party who made the mistake.
- **Limits:** The general contractor can't **reopen bargaining** ("bid shopping") and still hold the sub to its bid. Reliance must be **reasonable**: a bid so low it's obviously mistaken can't be relied on.
- **Baird vs. Drennan:** Baird treats a bid as a bargain offer that can be revoked until accepted. Drennan uses reliance to imply a promise to hold the bid open. **R2 § 87(2) follows Drennan.**

Class 13 — Options and Promissory Estoppel in Negotiations

Document: CB 255–262 and 272–282 (Berryman; Pop's) — class focus

Case: Berryman v. Kmoch (Kan. 1977)

- Kmoch signed an **option** giving Berryman 120 days to buy farmland. It recited "$10 and other valuable consideration," but the **$10 was never paid**. Berryman spent effort lining up financing and buyers. Kmoch sold to someone else, and Berryman learned of it.
- **Held: No enforceable option.** (1) Because the recited **$10 was never paid**, there was **no consideration**, so the "option" was only a **revocable offer**. (2) Berryman's own efforts weren't bargained for. (3) **No promissory estoppel**, because Kmoch didn't expect or induce Berryman's actions in reliance on the offer staying open. (4) The offer was **revoked** when Kmoch sold the land and Berryman learned of the sale (indirect revocation).
- **Contrast § 87(1):** The Restatement would **enforce** a signed written option that **recites** consideration, even if it wasn't paid. *Berryman* rejects that approach.

Case: Pop's Cones, Inc. v. Resorts International Hotel (N.J. Super. Ct. App. Div. 1998)

- Pop's, a TCBY franchise, was negotiating to move into Resorts' Atlantic City space. Resorts' executive told Pop's it was "**95% there**" and to give up its existing lease. Pop's did so and moved its equipment into storage. Resorts then withdrew its offer.
- **Held: Summary judgment for Resorts reversed.** Pop's could recover under **promissory estoppel**.
  - **New Jersey relaxed** the requirement of a "**clear and definite promise**." The degree of definiteness required depends on the circumstances. Courts are **less strict** when the claimant seeks only **reliance damages**.
  - Pop's was limited to **reliance** damages (the costs of giving up its lease and moving), not the profits of a lease it never had.
- **Lesson:** Promissory estoppel can provide a remedy for **reliance during negotiations**, before any contract is formed.

UNIT IV — Electronic Contracting (Class 14)

Class 14 — Electronic Contracting

Document: CB 181–208 (Long; DeFontes)

Rule: The same mutual-assent rules apply online. The question is whether the user had **reasonable notice** of the terms and **manifested assent** to them.

Format	How assent is shown	Usual result
Clickwrap	User **clicks "I agree"** after the terms are presented	Generally **enforced**
Browsewrap	Terms sit behind a **hyperlink**. Assent is inferred from **continued use** of the site	Enforced **only** with **actual or constructive notice** (a conspicuous link and clear notice)
Shrinkwrap / "rolling" contract	Terms come **in the box**. The buyer accepts by **keeping** the product past a return period	Split. *ProCD* and *Hill* (7th Cir.) enforce. Others treat the terms as § 2-207 proposals
Sign-in-wrap	Notice near a sign-up button that says using the site means agreeing to the terms	Depends on how **conspicuous** the notice is

Case: Long v. Provide Commerce, Inc. (Cal. Ct. App. 2016)

- Long bought flowers through ProFlowers' website and later sued. Provide moved to compel **arbitration** based on its **Terms of Use**, which were reachable only through hyperlinks on the checkout pages.
- **Held: No assent; arbitration denied.** The site was a **browsewrap**. The links were **not conspicuous enough** (small text, not near the buttons the user clicked, and no notice that buying meant agreeing). Long had **no actual or constructive notice**.
- **Rules relied on:** *Specht v. Netscape* (clicking "download" doesn't show assent to terms the user can't see) and *Nguyen v. Barnes & Noble* (the **proximity and conspicuousness** of the hyperlink alone aren't enough without notice that use equals assent).
- The **burden** is on the party seeking arbitration to show an agreement. The **FAA**'s pro-arbitration policy doesn't apply to the question of **whether** an agreement was formed.

Case: DeFontes v. Dell, Inc. (R.I. 2009)

- Dell shipped computers with "**Terms and Conditions**" (including an **arbitration** clause) inside the box. Dell argued that customers accepted them by **keeping** the computers.
- **Held: No agreement to arbitrate.** Even under a **"rolling contract"** (*ProCD* / *Hill*) approach, the seller must give **reasonable notice** that the buyer can **reject the terms by returning** the product. Dell's materials **did not** make that clear. Its return policy was even ambiguous about whether returns were allowed.
- **Lesson:** The UCC lets a contract form "**in any manner sufficient**" (§ 2-204) and allows acceptance "in any manner reasonable" (§ 2-206). But the offeree must still have **notice of the terms and of how to reject them**.

UNIT V — Restitution (Classes 15–16)

Class 15 — Restitution in the Absence of Agreement

Document: CB 286–316 (Commerce; Pelo)

Rule: Unjust enrichment (Restatement (Third) of Restitution § 1). A person who is **unjustly enriched at another's expense** must make restitution. Elements:

1. The plaintiff **conferred a benefit** on the defendant.
2. The defendant **knew of and accepted or retained** the benefit.
3. Under the circumstances, it would be **inequitable** for the defendant to keep it **without paying** its value.

Not a contract. Restitution, "**quasi-contract**," and "**implied-in-law**" contracts are all **remedies created by law**. Compare an **implied-in-fact** contract, which is a real contract inferred from conduct.

Limits:

- **Volunteers (officious intermeddlers)** don't recover. You can't force a benefit on someone and send a bill.
- **Emergencies** are an exception. A person who provides **emergency services** to protect someone's **life or health** (R3 Restitution § 20), or their **property** (§ 21), recovers, if the services were intended to be paid for.

Case: Commerce Partnership 8098 v. Equity Contracting Co. (Fla. Dist. Ct. App. 1997)

- A subcontractor (Equity) did work on a building and wasn't paid by the **general contractor**. It sued the **owner** directly for unjust enrichment.
- **Held: Reversed and remanded.** An owner isn't unjustly enriched just because the sub wasn't paid. The sub has to show the owner **hasn't paid anyone** for the work, meaning the owner got the benefit free. If the owner **paid the general contractor**, it gave value and isn't enriched unjustly. The sub's remedy is against the general contractor (and any mechanic's lien).
- **Lesson:** Restitution requires that keeping the benefit be **unjust**, not merely that the plaintiff lost money.

Case: Credit Bureau Enterprises v. Pelo (Iowa 2000)

- Pelo was **involuntarily committed** to a hospital after a suicide threat. He refused to sign financial-responsibility forms. The hospital sued for the cost of his care.
- **Held:** Pelo was **liable** on an **implied-in-law contract** for the **reasonable value** of the services. He received **necessary** emergency medical care, and it would be unjust for him to keep the benefit without paying. His lack of consent didn't matter because the duty is **imposed by law**.
- **Lesson:** Emergency medical care is the classic case of a benefit that is not officious.

Case (note): Watts v. Watts (Wis. 1987). An **unmarried cohabitant** can bring an **unjust enrichment** claim for contributions to the property the couple accumulated. **Posner's view:** restitution works where **transaction costs** made bargaining impossible (emergencies), but not where the plaintiff could have bargained first.

Class 16 — Promissory Restitution

Document: CB 316–329 (Mills; Webb)

Rule: Past consideration is no consideration. A promise made **because of** a benefit already received wasn't **bargained for**.

Rule: Material benefit rule (R2 § 86). A promise made in **recognition of a benefit previously received** by the promisor is binding **to the extent necessary to prevent injustice**. It is **not** binding if (a) the promisee conferred the benefit as a **gift** or the promisor otherwise isn't **unjustly enriched**, or (b) the promised value is **disproportionate** to the benefit.

Case: Mills v. Wyman (Mass. 1825)

- Mills cared for Levi Wyman, the **25-year-old** son of the defendant, who fell ill returning from sea. The father **later promised** to pay Mills's expenses, then refused.
- **Held: Unenforceable.** The father got **no benefit** (the son was an adult), and a **moral obligation** alone is not consideration. The promise was made **after** the services, so they weren't bargained for.
- The court noted the father's conduct was morally wrong, but ruled the law could not enforce it.

Case: Webb v. McGowin (Ala. Ct. App. 1935)

- Webb, a mill worker, was dropping a **75-pound pine block** when he saw McGowin below. He diverted it, saving McGowin, but was **permanently crippled**. McGowin then promised to pay Webb **$15 every two weeks for life**. He paid until his death. His estate stopped.
- **Held: Enforceable.** McGowin received a **material benefit** (his life and health), and his later promise **affirmed** that benefit. That makes a moral obligation sufficient consideration.
- **Mills vs. Webb:** In *Webb*, the **promisor himself** received the benefit (his own life). In *Mills*, the benefit went to an adult son, not the promisor.

UNIT VI — Statute of Frauds (Classes 17–18)

Framework:

1. Is the contract **within** the Statute (one of the covered categories)?
2. If so, is there a **sufficient writing**, **signed** by the party **to be charged**?
3. If not, does an **exception** apply (part performance, § 139 reliance, UCC § 2-201(2)–(3))?
4. If not, is **restitution** still available for benefits conferred?

Class 17 — The Statute of Frauds

Document: CB 335–371 (Crabtree; Beaver; Rice) (skip Problem 4-1)

Rule: Covered categories (R2 § 110). Mnemonic "MY LEGS":

- **M**arriage: a promise made **in consideration of** marriage (prenups), not mutual promises to marry. Construed narrowly.
- **Y**ear: a contract that **cannot be performed within one year** of its making.
- **L**and: a contract for the sale of an **interest in land**.
- **E**xecutor or administrator: a promise to pay the estate's debts personally.
- **G**oods: sale of goods for **$500 or more** (UCC § 2-201; Class 18).
- **S**uretyship: a promise to answer for the **debt of another**.

The one-year provision:

- It's about **possibility**, not probability. A contract is within the statute only if, **by its terms**, it **cannot possibly** be performed within a year (R2 § 130). "Build a bridge" is outside, even if it will take three years.
- **Lifetime employment** is outside the statute in most courts, because the employee could die within a year, which **fully performs** the contract.
- But the possibility of **termination** or **excuse** within a year doesn't take a contract outside. Only possible **full performance** does. A **two-year** contract is within.

Suretyship (R2 §§ 112, 116): Covers a promise made **to the creditor** to pay another's debt. The **main purpose / leading object** exception: if the promisor's main purpose is to benefit **itself**, the promise is outside the statute.

What counts as the writing (R2 §§ 131–134):

- It must **reasonably identify** the subject matter, show a contract was made, state the **essential terms**, and be **signed by the party to be charged**.
- The writing **need not be formal** or meant as a contract (a letter, a napkin, a crayon memo). **Any mark** intended to authenticate is a signature, including a printed letterhead.
- **E-SIGN / UETA:** Electronic records and signatures satisfy the statute.

Case: Crabtree v. Elizabeth Arden Sales Corp. (N.Y. 1953) (Fuld, J.)

- Crabtree wanted a 3-year deal and agreed orally to a **two-year** contract as sales manager, with pay rising over time. The terms were recorded on **payroll change cards**, some signed by Arden's officers, plus an **unsigned** memo that said "**2 years to make good**." Arden refused the second raise.

- **Held: Enforceable.** A memorandum can be **pieced together** from several writings, only some of them signed, if the signed writing **establishes the contractual relationship** and the unsigned writings **clearly refer to the same transaction**. Oral testimony may show the connection.
- **Lesson:** The two-year term put the contract **within** the one-year provision, but the combined writings satisfied it.

Case: Beaver v. Brumlow (N.M. Ct. App. 2010)

- Landowners orally agreed to sell the Brumlows land and let them put a house on it. The Brumlows moved in, built the house, and made improvements. No price or closing date was ever set. The landowners later tried to evict them.
- **Held: Specific performance** granted under the **part performance** doctrine. The buyers' **possession plus substantial improvements**, done **in reliance on** the oral agreement and **unequivocally referable** to it, take the contract outside the statute. The missing price could be supplied by **fair market value**.
- **Part performance (R2 § 129):** A land contract can be specifically enforced if the party seeking enforcement reasonably relied on the contract and the other party's continuing assent, and changed position so that **injustice can be avoided only by specific enforcement**.

Case: Alaska Democratic Party v. Rice (Alaska 1997)

- Rice was promised orally a **two-year** job as executive director of the Alaska Democratic Party. She **quit her Maryland job and moved** to Alaska. The party's executive committee refused to hire her.
- **Held:** The oral two-year contract was **within** the one-year provision, but Rice could recover under **promissory estoppel (R2 § 139)**.
- **R2 § 139:** A promise that induces foreseeable reliance is enforceable **despite the statute** if injustice can be avoided only by enforcement. Factors: (a) whether **other remedies** like restitution are available and adequate; (b) the **definite and substantial** character of the reliance; (c) how far the reliance **corroborates** the promise, or the promise is shown by **clear and convincing evidence**; (d) the **reasonableness** of the reliance; (e) its **foreseeability**.
- **Split:** Some states **reject** § 139 entirely (estoppel can't override the statute). Others limit it to **unconscionable** injury.

Restitution survives the statute. Even when the statute bars enforcement, a party can recover the **value of benefits** conferred under the unenforceable contract (R2 § 375).

Class 18 — The Statute of Frauds and the UCC

Document: CB 372–382 (Hart)

Rule: UCC § 2-201(1). A contract for the sale of goods for **$500 or more** requires a **writing**, sufficient to indicate a contract, **signed by the party against whom enforcement is sought**.

- The writing needs **only a quantity term**. Price and other terms may be missing or even wrong.
- The contract isn't enforceable **beyond the quantity** shown in the writing.

Exceptions:

- **§ 2-201(2): Merchant's confirmation.** Between **merchants**, a written **confirmation** sent within a reasonable time binds the **recipient** too, unless the recipient **objects in writing within 10 days**.

- **§ 2-201(3)(a): Specially manufactured goods.** Applies to goods made for the buyer that aren't suitable for sale to others, if the seller has made a **substantial beginning** before learning of repudiation.
- **§ 2-201(3)(b): Admission.** The party admits in a **pleading, testimony, or in court** that a contract was made (enforceable up to the quantity admitted).
- **§ 2-201(3)(c): Part performance.** Applies to goods for which **payment has been made and accepted**, or that have been **received and accepted**.

Case: Buffaloe v. Hart (N.C. Ct. App. 1994)

- Buffaloe orally agreed to buy five **tobacco barns** from Hart. He gave Hart a **check** for a down payment, and Hart **held it** for several days before returning it. Buffaloe had **also arranged to resell** the barns. Hart sold to someone else.
- **Held: Jury verdict for Buffaloe ($21,000) affirmed.**
  - (1) The **check was not a sufficient writing**. It stated a quantity, but it was signed only by Buffaloe, **not by the Harts**, the parties to be charged.
  - (2) The contract was still enforceable under the **part-performance exception, § 2-201(3)(c)**. There was evidence that Buffaloe **accepted the barns** (he treated them as his and arranged to resell them) and that the Harts **accepted payment** by holding the check for days. Acceptance is a **jury question**.
- **Lesson:** Check **who signed** the writing. If the writing fails, look at conduct: courts read "**accepted**" generously.

Other points from the reading:

- **UCC § 1-103(b):** Principles of law and equity, including **estoppel**, supplement the Code. Courts are **split** on whether **promissory estoppel** can overcome § 2-201.
- **UCC § 1-201** definitions: "**Signed**" means any symbol adopted with present intent to adopt or accept a writing. "**Writing**" includes printing or any other intentional reduction to tangible form. A "**record**" can be **electronic**.
- **CISG Art. 11:** International sales contracts **need not be in writing**.

Class 19 — Practice Exam

- Ungraded, reviewed the next class. Add your takeaways from the review here.

UNIT VII — Implied Terms & Good Faith (Classes 20–21)

Class 20 — Implied Promises

Document: CB 485–496 (Wood; Leibel)

Case: Wood v. Lucy, Lady Duff-Gordon (N.Y. 1917) (Cardozo, J.)

- Lady Duff-Gordon, a fashion designer, gave Wood an **exclusive** right to place her endorsements and market her designs, in exchange for **half the profits**. She then endorsed products behind his back. She argued the deal lacked consideration because Wood never **promised to do anything**.
- **Held: Enforceable.** A promise by Wood to use **reasonable efforts** is **fairly implied** from the whole writing. The law has outgrown the "**primitive formalism**" of requiring precise words: "A promise may be lacking, and yet the whole writing may be '**instinct with an obligation**,' imperfectly expressed."
- **Why imply it:** The exclusive grant would make no **business sense** unless Wood was obligated to try, since her income depended entirely on his efforts.
- **Codified: UCC § 2-306(2)**: an exclusive dealing agreement imposes a duty of **best efforts** on both sides. § 2-306(1) does the same for **output and requirements** contracts, measured in **good faith**.

Case: Leibel v. Raynor Manufacturing Co. (Ky. Ct. App. 1978)

- Raynor (a garage-door manufacturer) and Leibel had an oral **exclusive dealership** of indefinite duration. Raynor ended it with no advance notice.
- **Held:** The distributorship was governed by **UCC Article 2**, since its **predominant purpose** was the sale of goods. Under **UCC § 2-309(3)**, ending an indefinite contract requires **reasonable notification**. Summary judgment was improper. **Reasonableness** of notice is a **fact** question.
- **Lesson:** The UCC imposes default terms the parties didn't write. **Notice** of termination lets the other side make other arrangements.

Document: CB 496–517 (Morin)

Case: Morin Building Products Co. v. Baystone Construction (7th Cir. 1983) (Posner, J.)

- Morin supplied aluminum siding for a GM plant. The contract required the work to meet GM's "**complete satisfaction**." GM rejected the siding because it **looked uneven** in certain light, even though it met the specifications.
- **Held:** The **objective** standard applied. The question was whether a **reasonable person** would be satisfied, not whether GM actually was.
- **Two categories of satisfaction clauses:**
  - **Personal taste, fancy, or aesthetics** (a portrait, a suit): **subjective** standard, meaning **honest** dissatisfaction is enough.
  - **Commercial quality, operative fitness, or mechanical utility: objective** standard (a reasonable person). Here the siding was a functional wall for a factory, so the objective standard applied, even though it involved some appearance.
- **Rule of preference:** When the contract is unclear, courts **prefer the objective standard**, because a subjective one invites **forfeiture**.

Case (note): Seidenberg v. Summit Bank (N.J. Super. Ct. App. Div. 2002). A breach of the **implied covenant of good faith** claim can survive dismissal even between sophisticated parties. **Equal bargaining power** is one factor, not a bar. The **parol evidence rule** doesn't block the claim.

Document: Warranties (CB 551–552)

- **UCC § 2-313: Express warranty.** Created by (a) an **affirmation of fact or promise** about the goods, (b) a **description**, or (c) a **sample or model**, that becomes part of the **basis of the bargain**. No special words or intent to warrant are needed. **Puffing** ("best car in town") isn't a warranty.
- **UCC § 2-314: Implied warranty of merchantability.** Arises when the seller is a **merchant with respect to goods of that kind**. The goods must be **fit for their ordinary purpose** and pass without objection in the trade.
- **UCC § 2-315: Fitness for a particular purpose.** Applies when the seller has **reason to know** of the buyer's **particular purpose** and that the buyer is **relying on the seller's skill or judgment**. It applies to **any seller**, not just merchants.
- **Javins v. First National Realty** (D.C. Cir. 1970): an **implied warranty of habitability** is read into residential leases. It replaced the common-law **no-repair rule**. Compare **URLTA § 2.104**, which codifies the landlord's duty to maintain the premises.

Class 21 — Good Faith Continued

Document: CB 518–544 (Locke; Geysen)

Rule: Implied covenant of good faith and fair dealing (R2 § 205; UCC § 1-304). Every contract imposes a duty of good faith in its **performance and enforcement**. Neither party may do anything to **deprive the other of the benefits of the agreement**.

- It **cannot override express terms**. If the contract expressly gives a party the right to do something, exercising that right isn't bad faith (the *Carma* rule).
- It applies most often where one party has **discretion**. The discretion must be exercised **honestly** and consistent with the parties' **reasonable expectations**.
- **Bad faith** includes evading the spirit of the bargain, lack of diligence, abuse of discretion, and interfering with the other's performance (R2 § 205 cmt. d).

Case: Locke v. Warner Bros. (Cal. Ct. App. 1997)

- After her split from Clint Eastwood, Sondra Locke got a **$1.5 million** "development deal" with Warner. Warner paid the money but had **discretion** to reject her projects. Evidence showed Warner never intended to use her. Eastwood had secretly **reimbursed** Warner for the deal.
- **Held: Summary judgment for Warner reversed.** Even a contract that gives a party **subjective creative discretion** requires that discretion to be exercised **honestly and in good faith**. A **categorical refusal** to consider her proposals **on their merits**, while just going through the motions, would breach the implied covenant.
- **Paying** the guaranteed money didn't fully perform the contract. Locke also bargained for the **opportunity** to develop projects and advance her career.
- **Distinguish:** a contract that expressly lets a party **refrain** from acting (for example, "the studio has no obligation to produce") would defeat the implied covenant.

Case: Geysen v. Securitas Security Services (Conn. 2016)

- Geysen, an **at-will** salesperson, was fired shortly before large commissions would have been paid. His contract said commissions were paid only on amounts **invoiced before termination**.
- **Held, Part I:** The commission cutoff **was enforceable**. It didn't violate the wage statute (§ 31-72) or public policy, because under the contract's express terms he hadn't **earned** the unpaid commissions.
- **Held, Part II:** He **could** pursue a claim for breach of the **implied covenant**. An employer may fire an at-will employee, but it may **not** fire someone **in bad faith to avoid paying commissions** the employee reasonably expected for work already done (following *Fortune v. NCR*, Mass. 1977).
- **Lesson:** The implied covenant doesn't turn at-will employment into for-cause employment. It polices the **purpose** of a termination, not the right to terminate.

At-will employment notes:

- The **presumption** is at-will (either side can end it for any reason or no reason).
- **Exceptions: public policy** (firing someone for refusing to break the law, or for jury duty), **implied-in-fact for-cause terms** (employee handbooks, as in *Toussaint*), and **bad-faith** firing to grab earned benefits (*Fortune*, *Geysen*).

UNIT VIII — Interpretation & the Parol Evidence Rule: Ambiguity (Classes 22–23)

Big picture:

- **Interpretation** finds what the parties **meant**. **Construction** decides the **legal effect** of the words, including gap-filling and implied terms.
- The **parol evidence rule (PER)** has **two prongs**:
  - **Ambiguity** (Classes 22–23): Can outside evidence be used to explain the writing's meaning?
  - **Integration** (Classes 25–26): Can outside evidence add to or contradict a final writing?

Class 22 — The Ambiguity Determination

Document: CB 387–405

Rule: Goal of interpretation (R2 § 200). Find the **intent of the parties**, as shown by their language read **objectively**.

Two approaches to deciding whether a term is ambiguous:

	Textualism (plain meaning / four corners)	**Contextualism (Corbin / R2 / *Taylor*)**
Stage one: is there ambiguity?	Look only at the **text**. Ambiguity must be **patent** (visible on the face).	Consider **extrinsic evidence** (negotiations, circumstances, trade usage) to see whether the language is **reasonably susceptible** to the proposed meaning. Ambiguity can be **latent**.
If unambiguous	**Apply** the plain meaning. No outside evidence.	Same. But the court gets there only after hearing the context.
Stage two: resolving ambiguity	**Then** extrinsic evidence comes in to decide the meaning.	Same. Usually a **question for the fact-finder**.
Who decides ambiguity?	**The judge** (question of law)	**The judge** (question of law)

- **Patent ambiguity:** apparent from the text, for example a **vague** term or two **conflicting** provisions. **Latent ambiguity:** the text looks clear, but facts outside the writing show two meanings (as in *Raffles v. Wichelhaus*, two ships named *Peerless*).
- **Not ambiguity:** The parties **disagreeing** about what a term means doesn't make it ambiguous. Ask whether **both** readings are **reasonable**, in the **contested respect**.
- **Dictionaries** are not extrinsic evidence. Textualist courts use them.
- **Holmes/Corbin critique:** Words have **no meaning apart from context**, so a judge can't decide that text is "plain" without knowing its setting.

Case: Prochazka v. Bee-Three Development, LLC (Ark. Ct. App. 2015)

- A land purchase agreement let the buyer terminate "**in its sole and absolute discretion**" if the property was "not suitable for Buyer's intended use." The clause sat inside the article on **inspecting** the property. The buyer (Bee-Three) terminated during the inspection period because its undisclosed prospective tenant backed out, not because of anything wrong with the property. It sued to recover its **$7,000 earnest money**. The trial court granted it summary judgment, reading the clause as an **absolute** right to terminate.
- **Held: Reversed.** The clause was **ambiguous**, so summary judgment was improper. Read as a whole, its **placement** in the inspection article, the contract's **other termination clauses** (each tied to the subject of its own section), and the undefined term "**intended use**" made it reasonable to read the discretion as limited to **inspection-related** grounds.
- **Contrast:** *Harris Corp. v. Giesting* held a standalone "**termination for convenience**" clause unambiguous.
- **Lesson: Structure and placement** within the document can create ambiguity, even under a four-corners approach.

Standards of meaning (R2 § 201):

- **(1)** If the parties attach the **same meaning** to a term, that meaning controls, even if it's unusual.
- **(2)** If they attach **different meanings**, the meaning of party **A** controls if, when the contract was made, (a) B **knew** A's meaning and A didn't know B's, or (b) B **had reason to know** A's meaning and A had no reason to know B's.
- **(3)** Otherwise, **neither** party is bound by the other's meaning. There may be **no contract** (R2 § 20).

Class 23 — The Ambiguity Prong of the PER; Contextualist Methodology

Document: CB 440–455 (Taylor) (skip notes 1 and 5, pp. 450–51)

Case: Taylor v. State Farm Mutual Automobile Insurance Co. (Ariz. 1993)

- Taylor caused an accident and was hit with a judgment above his policy limits. He signed a **release** with State Farm settling his claims under the policy. He later sued State Farm for **bad faith** (failing to settle within limits). State Farm said the release covered the bad-faith claim. Taylor offered **evidence from the negotiations** that it didn't.
- **Held:** Arizona follows **Corbin**. The judge **first considers the offered evidence** and asks whether the language is "**reasonably susceptible**" to the proposed meaning. If it is, the evidence comes in. Here the release language seemed broad on its face, but **read in light of the evidence** it was reasonably susceptible to Taylor's reading that it did **not** release the bad-faith claim. The trial court properly admitted the evidence, and the **jury's finding for Taylor** on the release issue stood.
- **Key points:**
  - There's **no preliminary finding of ambiguity** required before the judge looks at context.
  - It's a **sliding scale**: the **more implausible** the proposed meaning ("white is black"), the **more convincing** the evidence must be.
  - The judge retains **discretion** to keep out evidence that would contradict the text in an implausible way.
  - "Reasonably susceptible" is a **question of law** for the court. The **meaning** is a question of fact.
  - The **parties' later conduct** is evidence of what they meant.

Case (note): Shay v. Aldrich (Mich. 2010)

- **Majority:** Extrinsic evidence was admissible to show whom a release was meant to cover.

- **Dissent:** Emphasized the **duty to read** and enforcing a clear release as written.

PER (Corbin § 573): The rule doesn't bar evidence offered to show **what the writing means**. It bars evidence offered to **vary or contradict** an integrated writing. **R2 § 214(c):** prior agreements and negotiations are admissible to establish the **meaning** of the writing, whether or not it is integrated.

Document: Contextualist Methodology (CB 406–418) (Frigaliment)

Case: Frigaliment Importing Co. v. B.N.S. International Sales (S.D.N.Y. 1960) (Friendly, J.)

- A Swiss buyer ordered "**U.S. Fresh Frozen Chicken, Grade A**" in two sizes (1½–2 lb and 2½–3 lb). The buyer meant young **broilers and fryers**. The seller, new to the poultry trade, shipped **stewing chickens ("fowl")** in the larger size. "Chicken" can mean either.
- **Held: For the seller.** The plaintiff **bears the burden** of proving that "chicken" was used in its **narrower** sense, and it **failed** to carry it.
- **Sources Friendly weighed, in order:**
  1. **The contract itself:** Two weight classes, but nothing in the text forced both to be young chickens. "A contract for 'apples' of two different sizes could be filled with different kinds of apples."
  2. **Negotiations:** The cables were in German and English. The buyer used the English word "chicken" because it was supposedly more precise. That proved little.
  3. **Trade usage:** It binds a party **new to the trade** only if they **actually knew** it, or the usage was so **notorious** that knowledge can be presumed (*Walls v. Bailey*). The evidence was conflicting, and the buyer's own witnesses protected themselves by saying "broiler."
  4. **Regulations:** The contract referred to **USDA** grading, and the USDA definition of chicken **included** stewing chickens.
  5. **Market price:** The price was **below** the market price for broilers, so the seller could reasonably think it was selling fowl.
  6. **Course of performance:** The buyer accepted the first shipment and then ordered more.
- **Rule:** A party's **subjective** intent matters only if it **coincides with an objective meaning** of the term. The seller's meaning matched the dictionary, the regulations, and market realities.

Rule: UCC § 1-303 hierarchy. Express terms control over **course of performance** (this contract), which controls over **course of dealing** (past contracts between the parties), which controls over **usage of trade** (the industry).

Canons of interpretation (R2 §§ 202–203):

1. Read the contract **as a whole**.
2. Avoid readings that put terms **in conflict**.
3. Avoid readings that make terms **surplus**.
4. Prefer **reasonable, lawful** meanings over unreasonable ones.
5. Give weight to the contract's **principal purpose**.
6. **Noscitur a sociis:** a word is known by the company it keeps.
7. **Ejusdem generis:** general words after specific ones cover only **similar** things.
8. **Expressio unius:** listing some things excludes others.
9. **Specific** terms control over **general** ones, and **negotiated** terms over **boilerplate**.
10. **Contra proferentem:** ambiguity is construed **against the drafter**. It's a tiebreaker of last resort.

Reasonable expectations doctrine (introduction): In insurance and other form contracts, courts may honor the **objectively reasonable expectations** of the non-drafting party, even against fine print.

TIMELINE OF KEY CASES

Year	Case	Point
1825	Mills v. Wyman	Moral obligation is not consideration
1845	Kirksey v. Kirksey	A gratuitous promise is unenforceable (condition of a gift)
1891	Hamer v. Sidway	Giving up a legal right is consideration
1917	Wood v. Lucy, Lady Duff-Gordon	Implied promise of reasonable efforts
1919	Dougherty v. Salt	A false recital of consideration doesn't help
1930	Greiner v. Greiner	First Restatement § 90 enforces a family land promise
1933	James Baird v. Gimbel	No promissory estoppel for bargain offers
1935	Webb v. McGowin	Material benefit rule
1937	Plowman v. Indian Refining	Past service and conditions of gifts aren't consideration
1949	Batsakis v. Demotsis	Courts don't weigh adequacy
1952	Ray v. Eurice	The objective theory: signing binds you
1953	Crabtree v. Elizabeth Arden	Piecing together writings
1954	Lucy v. Zehmer	No "secret joke" defense
1954	Lonergan v. Scolnick	Preliminary negotiation is not an offer
1958	Drennan v. Star Paving	Reliance makes a sub's bid irrevocable
1960	Frigaliment	"What is chicken?" Contextual interpretation
1964	Walker v. Keith	An agreement to agree is too indefinite
1976	Harlow & Jones v. Advance Steel	UCC contract formed by conduct; gap fillers
1977	Berryman v. Kmoch	An unpaid nominal consideration option is just a revocable offer
1978	Leibel v. Raynor	UCC § 2-309: reasonable notice of termination
1980	Katz v. Danny Dare	Retirement in reliance on a pension promise
1983	Morin v. Baystone	Objective satisfaction standard for commercial goods
1985	Normile v. Miller	Counteroffer; indirect revocation
1989	Izadi v. Machado Ford	An ad can be an offer; fine print trap
1993	Taylor v. State Farm	Corbin "reasonably susceptible" test
1994	Buffaloe v. Hart	Check signed only by the buyer isn't a writing; part-performance exception applies
1995	King v. Trustees of Boston University	Charitable pledge enforced
1996	Wright v. Newman	Promissory estoppel creates child support duty
1997	Locke v. Warner Bros.	Bad-faith exercise of discretion

Year	Case	Point
1997	Commerce Partnership v. Equity Contracting	Owner who paid isn't unjustly enriched
1997	Cook v. Coldwell Banker	Unilateral contract: can't revoke after performance begins
1997	Alaska Democratic Party v. Rice	R2 § 139 overcomes the Statute of Frauds
1998	Pop's Cones v. Resorts International	Reliance during negotiations
2000	Credit Bureau Enterprises v. Pelo	Implied-in-law contract for emergency care
2008	Harvey v. Dow	General promise plus conduct supports § 90
2009	DeFontes v. Dell	Shrinkwrap needs notice of the right to reject
2010	Beaver v. Brumlow	Part performance; specific performance of land sale
2011	Aceves v. U.S. Bank	Promise to negotiate enforced through reliance
2012	Sateriale v. R.J. Reynolds	A promotion can be a unilateral offer
2014	Dohrmann v. Swaney	Grossly inadequate consideration plus unfairness
2015	Prochazka v. Bee-Three Development	Placement within the contract creates ambiguity
2016	Long v. Provide Commerce	Browsewrap without notice isn't assent
2016	Geysen v. Securitas	Firing to avoid commissions breaches good faith

QUICK REFERENCE

Restatement and UCC sections to tab in your book

Topic	Section
Contract; promise; how made	R2 §§ 1, 2, 4
Bargain requirement	R2 § 17(1)
Misunderstanding	R2 § 20
Offer; preliminary negotiation	R2 §§ 24, 26
Option contract	R2 §§ 25, 87
Termination of power of acceptance	R2 §§ 36, 39, 41, 43
Unilateral contract; part performance	R2 § 45
Mailbox rule	R2 § 63
Consideration	R2 §§ 71, 79
Material benefit	R2 § 86
Promissory estoppel	R2 § 90
Statute of Frauds	R2 §§ 110, 129, 130, 139
Unilateral mistake	R2 § 153
Interpretation	R2 §§ 200–203
Good faith	R2 § 205; UCC § 1-304
Parol evidence / meaning	R2 § 214(c)
Formation; acceptance; battle of forms	UCC §§ 2-204, 2-206, 2-207
Firm offer	UCC § 2-205
Statute of Frauds for goods	UCC § 2-201
Output, requirements, exclusive dealing	UCC § 2-306
Termination notice	UCC § 2-309(3)
Warranties	UCC §§ 2-313, 2-314, 2-315
Course of performance, dealing, usage	UCC § 1-303

Numbers

Rule	Number	Source
UCC Statute of Frauds threshold	**$500** or more	§ 2-201(1)
Objection to a merchant's confirmation	**10 days**	§ 2-201(2)
Firm offer without consideration	Up to **3 months**	§ 2-205
One-year provision	Can't **possibly** be performed within **1 year**	R2 § 130

Must-know tests

Formation

- **Offer (R2 § 24):** Would a reasonable person believe their assent **alone** concludes the deal? Ads and quotes usually aren't offers, unless clear, definite, and **nothing left to negotiate** (*Izadi*, *Sateriale*).
- **Objective theory (Lucy, Ray):** reasonable meaning of words and acts. Secret intent and secret jokes don't matter.
- **Termination:** rejection or counteroffer, lapse, revocation (including **indirect** revocation, *Normile*), death or incapacity.
- **Unilateral contracts (R2 § 45):** beginning performance creates an option (*Cook*).
- **UCC formation (§ 2-204, § 2-207):** formation by conduct; gaps filled by the Code (*Harlow & Jones*).
- **Indefiniteness:** An agreement to agree on a material term fails at common law (*Walker*). The UCC fills gaps if the parties intended a contract.
- **Online:** clickwrap is generally fine. Browsewrap requires **actual or constructive notice** (*Long*). Shrinkwrap requires notice of terms **and** of how to **reject** (*DeFontes*).

Consideration

- **Bargained for (R2 § 71):** sought by the promisor in exchange. A **condition of a gift** isn't consideration (*Kirksey*, *Plowman*).
- **Legal detriment** suffices (*Hamer*). **Adequacy** isn't reviewed (*Batsakis*), unless it's **grossly** inadequate **plus** unfair circumstances (*Dohrmann*).
- **Recitals** don't create consideration (*Dougherty*, *Berryman*), except the R2 § 87(1) option rule.
- **Past consideration** isn't consideration (*Mills*), except under the **material benefit rule** (R2 § 86, *Webb*).

Promissory estoppel (R2 § 90)

- Promise + **reasonably expected** reliance + **actual** reliance + **injustice** without enforcement. The remedy can be limited to reliance damages.
- Family (*Greiner*, *Harvey*, *Wright*), employment (*Katz*), charity (*King*; § 90(2)), lending (*Aceves*), negotiations (*Pop's*).
- **Bids:** *Baird* (no estoppel for bargain offers) vs. *Drennan* (implied promise to hold the bid open; **R2 § 87(2)**).

Restitution

- **Benefit** conferred + **knowledge and retention** + **unjust** to keep without paying. No recovery for volunteers. **Emergencies** are the exception (*Pelo*). An owner who paid the general contractor isn't enriched (*Commerce*).

Statute of Frauds

- **MY LEGS.** Writing **signed by the party to be charged**. Writings may be **pieced together** (*Crabtree*).
- **Escapes: part performance** for land (*Beaver*); **§ 139** reliance (*Rice*); **restitution**.
- **UCC § 2-201:** a quantity term is required; merchant's confirmation; specially manufactured goods; admission; **payment or goods accepted** (*Buffaloe*).

Implied terms and good faith

- **Implied reasonable/best efforts** in exclusive deals (*Wood*; UCC § 2-306).
- **Reasonable notice** to end an indefinite contract (*Leibel*; UCC § 2-309(3)).
- **Satisfaction clauses: objective** for commercial fitness, **subjective** (honest) for personal taste (*Morin*).
- **Good faith (R2 § 205):** applies to discretion. It can't override express terms. No bad-faith rejection (*Locke*). No firing to avoid paying commissions (*Geysen*).
- **Warranties:** express (§ 2-313), merchantability (§ 2-314, merchant only), fitness for a particular purpose (§ 2-315, reliance on seller).

Interpretation and the PER (ambiguity)

- **Textualism:** four corners, **patent** ambiguity only. **Contextualism:** consider evidence first, then ask whether the term is **reasonably susceptible** to the proposed meaning (*Taylor*; R2 § 214(c)).
- **R2 § 201:** a shared meaning controls. Otherwise the innocent party's meaning controls. If neither side knew or should have known the other's meaning, no contract.
- **Frigaliment's evidence:** text → negotiations → trade usage (it binds a newcomer only if they knew it or it was notorious) → regulations → price → course of performance. The party claiming the **narrower** meaning bears the **burden**.
- **UCC § 1-303 hierarchy:** express terms > course of performance > course of dealing > usage of trade.